

**NAJRAN CEMENT COMPANY
(A SAUDI JOINT STOCK COMPANY)**

**INTERIM CONDENSED CONSOLIDATED
FINANCIAL STATEMENTS (UNAUDITED)
FOR THE THREE-MONTH AND NINE-MONTH
PERIODS ENDED 30 SEPTEMBER 2025
AND INDEPENDENT AUDITOR'S
REVIEW REPORT**

Najran Cement Company
(A Saudi Joint Stock Company)
Interim Condensed Consolidated Financial Statements (Unaudited)
For The Three-Month and Nine-Month Periods Ended 30 September 2025
And Independent Auditor's Review Report

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INDEPENDENT AUDITOR'S REVIEW REPORT

To The Shareholders Of
Najran Cement Company
(A Saudi Joint Stock Company)
Najran, Kingdom of Saudi Arabia

Introduction

We have reviewed the accompanying interim condensed consolidated statement of financial position of Najran Cement Company - A Saudi Joint Stock Company ("the Company") and its subsidiary ("collectively referred to as the "Group"), as of 30 September 2025, and the related interim condensed consolidated statements of profit or loss and comprehensive income for the three-month and nine-month periods then ended, and the interim condensed consolidated financial statements of changes in equity and cash flows for the nine-month period then ended, and other explanatory notes.

Management is responsible for the preparation and presentation of these interim condensed consolidated financial statements in accordance with International Accounting Standard 34, "Interim Financial Reporting" ("IAS 34"), as endorsed in the Kingdom of Saudi Arabia. Our responsibility is to express a conclusion on these interim condensed consolidated financial statements based on our review.

Scope of review

We conducted our review in accordance with the International Standard on Review Engagements 2410, "Review of Interim Financial Information Performed by the Independent Auditor of the Entity", as endorsed in the Kingdom of Saudi Arabia. A review of interim financial statements consists of making inquiries, primarily to the persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with International Standards on Auditing, as endorsed in the Kingdom of Saudi Arabia, and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

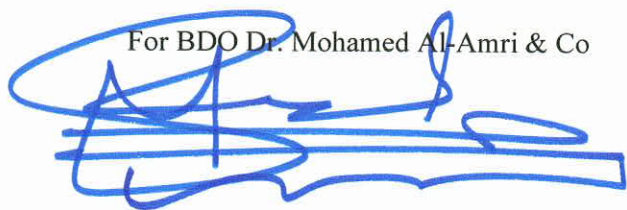
Conclusion

Based on our review, nothing has come to our attention that causes us to believe that the accompanying interim condensed consolidated financial statements are not prepared, in all material respects, in accordance with "IAS 34", as endorsed in the Kingdom of Saudi Arabia.

Other matter

We reviewed the Group's interim condensed consolidated financial statements as at and for the period ended 30 September 2024 and we issued a modified conclusion on our report dated 09 Jumada al-Awwal 1446 H (corresponding to 11 November 2024). As part of our review procedures of the Group's interim condensed consolidated financial statements for the three and nine-month periods ended 30 September 2025, we reviewed the adjustments mentioned in note (19) that were applied to restate the comparative figures presented to the Group's interim condensed consolidated financial statements.

For BDO Dr. Mohamed Al-Amri & Co



Maher Al-Khatieb
Certified Public Accountant
Registration No. 514



22/05/1447 (H)
13/11/2025 (G)

Najran Cement Company
(A Saudi Joint Stock Company)
Interim Condensed Consolidated Statement of Financial Position
(All amounts in thousands Saudi Riyals unless otherwise stated)

		30 September 2025 (Unaudited)	31 December 2024 (Audited)
ASSETS	<i>Note</i>		
Non-current assets			
Property, plant and equipment		1,964,122	2,029,870
TOTAL NON-CURRENT ASSETS		1,964,122	2,029,870
Current assets			
Inventories	8	429,654	379,628
Prepayments and other receivables		22,635	28,871
Trade receivables	9	22,198	21,839
Cash and cash equivalents		4,217	16,485
TOTAL CURRENT ASSETS		478,704	446,823
TOTAL ASSETS		2,442,826	2,476,693
EQUITY AND LIABILITIES			
Equity			
Share capital	10-1	1,700,000	1,700,000
Treasury shares	10-2	(43,847)	-
Retained earnings		367,096	342,315
TOTAL EQUITY		2,023,249	2,042,315
LIABILITIES			
Non-current liabilities			
Employees' defined benefit obligations		52,139	47,684
Non-current portion of lease liability		1,549	1,827
Rehabilitation provision		1,280	1,217
Long term borrowing – non-current portion	11-1	232,808	205,962
TOTAL NON-CURRENT LIABILITIES		287,776	256,690
Current liabilities			
Short term financing	11-2	40,000	30,000
Long term borrowing –Current portion	11-1	20,450	61,357
Trade payables		45,212	46,958
Accrued and other payables		14,630	25,181
Contract liability-advances from customers		5,273	5,542
Current portion of lease liability		277	269
Dividends payable		899	1,454
Provision for zakat	12	5,060	6,927
TOTAL CURRENT LIABILITIES		131,801	177,688
TOTAL LIABILITIES		419,577	434,378
TOTAL EQUITY AND LIABILITIES		2,442,826	2,476,693

CFO

Rami Jawad Abu Jneid

CEO

Ataa Abdullqader Bakkar

Authorized Board Member

Fahad Abdullah AlRajhi

The attached notes from 1 to 20 form an integral part of these interim condensed consolidated financial statements.

Najran Cement Company
(A Saudi Joint Stock Company)
Interim Condensed Consolidated Statement of Profit or Loss
(All amounts in thousands Saudi Riyals unless otherwise stated)

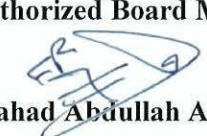
		<i>For the three-month period ended 30 September</i>		<i>For the nine-month period ended 30 September</i>	
		<i>2025</i> <i>(Unaudited)</i>	<i>2024</i> <i>(Restated note 19)</i> <i>(Unaudited)</i>	<i>2025</i> <i>(Unaudited)</i>	<i>2024</i> <i>(Restated note 19)</i> <i>(Unaudited)</i>
	<i>Note</i>				
Sales	13	122,668	134,565	382,609	385,959
Cost of sales		(101,269)	(100,844)	(305,902)	(294,911)
Gross profit		21,399	33,721	76,707	91,048
Selling and distribution expense		(2,160)	(2,079)	(6,243)	(6,927)
General and administrative expense		(9,926)	(9,598)	(28,740)	(26,148)
Operating profit		9,313	22,044	41,724	57,973
Finance costs		(5,124)	(6,024)	(14,449)	(18,231)
Other income		410	277	2,096	1,683
Profit before zakat		4,599	16,297	29,371	41,425
Zakat	12	(1,530)	(1,530)	(4,590)	(4,590)
Net profit for the period		3,069	14,767	24,781	36,835
EARNINGS PER SHARE					
Basic and diluted profit per share based on profit for the period attributable to shareholders of the Company (ﷲ)	14	0,02	0,09	0,15	0,22

CFO

Rami Jawad Abu Jneid

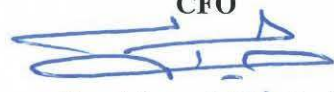
CEO

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Authorized Board Member

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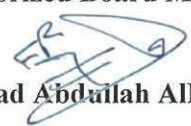
The attached notes from 1 to 20 form an integral part of these interim condensed consolidated financial statements.

	For the three-month period ended 30 September		For the nine-month period ended 30 September	
	2025 (Unaudited)	2024 (Restated note 19) (Unaudited)	2025 (Unaudited)	2024 (Restated note 19) (Unaudited)
NET PROFIT FOR THE PERIOD	3,069	14,767	24,781	36,835
OTHER COMPREHENSIVE INCOME	-	-	-	-
TOTAL COMPREHENSIVE INCOME FOR THE PERIOD	3,069	14,767	24,781	36,835

CFO

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CEO

 Ataa Abdulqader Bakkar

Authorized Board Member

 Fahad Abdullah AlRajhi

Najran Cement Company
(A Saudi Joint Stock Company)
Interim Condensed Consolidated Statement of Changes in Equity
(All amounts in thousands Saudi Riyals unless otherwise stated)

	<i>Share capital</i>	<i>Treasury shares</i>	<i>Statutory reserve</i>	<i>Retained earnings</i>	<i>Total Equity</i>
<i>Note</i>					
As at 1 January 2025 (Audited)	1,700,000	-	-	342,315	2,042,315
Net profit for the period	-	-	-	24,781	24,781
Other comprehensive income	-	-	-	-	-
Total comprehensive income for the period	-	-	-	24,781	24,781
Treasury shares	-	(43,847)	-	-	(43,847)
Balance as at 30 September 2025 (Unaudited)	1,700,000	(43,847)	-	367,096	2,023,249
As at 1 January 2024 (Audited)	1,700,000	-	162,193	111,869	1,974,062
Net profit for the period (<i>Restated note 19</i>)	-	-	-	36,835	36,835
Other comprehensive income	-	-	-	-	-
Total comprehensive income for the period	-	-	-	36,835	36,835
Balance as at 30 September 2024 (<i>Restated note 19</i>) (Unaudited)	1,700,000	-	162,193	148,704	2,010,897


CFO
Rami Jawad Abu Jneid


CEO
Ataa Abdulqader Bakkar


Authorized Board Member
Fahad Abdullah AlRajhi

The attached notes from 1 to 20 form an integral part of these interim condensed consolidated financial statements.

Najran Cement Company
(A Saudi Joint Stock Company)
Interim Condensed Consolidated Statement of Cash Flows
(All amounts in thousands Saudi Riyals unless otherwise stated)

		For the nine-month period ended 30 September	
		2025	2024 (Restated note 19)
	Note	(Unaudited)	(Unaudited)
OPERATING ACTIVITIES			
Profit before zakat		29,371	41,425
Adjustments to reconcile income before zakat to net cash flows:			
Depreciation	7	73,028	72,228
Rehabilitation provision		63	121
Finance costs		14,449	18,231
Provision for employees' benefits		5,536	5,570
Loss from disposal of property, plant and equipment		-	109
Transfer of property, plant and equipment	19	-	2,721
		<u>122,447</u>	<u>140,405</u>
Working capital adjustments			
Trade receivables		(359)	(1,934)
Inventories		(50,026)	(45,798)
Prepayments and other receivables		6,236	(104)
Contract liability - advances from customers		(269)	(729)
Trade payables		(1,746)	20,069
Accrued and other payables		(10,551)	(32,097)
Net cash generated from operations		<u>65,732</u>	<u>79,812</u>
Zakat Paid	12	(6,457)	(6,748)
Finance costs paid		(12,510)	(15,016)
End of service benefits paid		(1,081)	(3,642)
Net cash generated from operating activities		<u>45,684</u>	<u>54,406</u>
INVESTING ACTIVITIES			
Purchase of property, plant and equipment	7	(7,582)	(45,733)
Proceeds from disposal of property, plant and equipment		302	678
Net cash used in investing activities		<u>(7,280)</u>	<u>(45,055)</u>
FINANCING ACTIVITIES			
Net movement of short-term loans		10,000	20,000
Payment of long-term loan	11-1	(16,000)	(29,423)
Payment of lease liability		(270)	(269)
Dividends paid		(555)	-
Purchases of treasury shares	10-2	(43,847)	-
Net cash used in financing activities		<u>(50,672)</u>	<u>(9,692)</u>
Net decrease in cash and cash equivalents		<u>(12,268)</u>	<u>(341)</u>
Cash and cash equivalents at the beginning of the period		16,485	16,015
CASH AND CASH EQUIVALENTS AT THE END OF THE PERIOD		<u>4,217</u>	<u>15,674</u>
Non-Cash Transaction:			
Additions to property, plant and equipment	7	-	1,841

CFO

Rami Jawad Abu Jneid

CEO

Ataa Abdulqader Bakkar

Authorized Board Member

Fahad Abdullah AlRajhi

The attached notes from 1 to 20 form an integral part of these interim condensed consolidated financial statements.

1 CORPORATE INFORMATION

Najran Cement Company (“the Company” or “the Parent Company”), a Saudi Joint Stock Company, registered at Najran on 5 Ramadan 1426 (corresponding to 9 October 2005) under Commercial Registration number 5950010479. On 10 Shaaban 1437 (corresponding to 17 May 2016), the Company was granted an Industrial License, number 2446. The Company’s shares are listed in the Saudi stock Market in the Kingdom of Saudi Arabia.

The principal activities of the Company are manufacturing ordinary Portland cement and cement resistant to salts.

These interim condensed consolidated financial statements comprise the Company and its wholly owned subsidiary, Wasl Al Janub Land Transportation Company (One person company) (together referred to as the "Group").

The subsidiary Company is registered as a limited liability Company at Najran was established on 23 Dhul-Hijjah 1441 (corresponding to 8 August 2020) under Commercial Registration number 5950119264. On 02 Shaaban 1442 (corresponding to 15 March 2021), the subsidiary company was granted transportation License, number 11/00007925.

The principal activity of the subsidiary company is land transport of goods.

2 SIGNIFICANT ACCOUNTING POLICIES

2.1 Statement of compliance

These interim condensed consolidated financial statements for the Nine-Month Periods ended 30 September 2025 have been prepared in accordance with International Accounting Standard (34) “Interim Financial Reporting” as endorsed in the Kingdom of Saudi Arabia and other standards and pronouncements that are issued by the Saudi Organization for Chartered and Professional Accountants (“SOCPA”). The Group has prepared these interim condensed consolidated financial statements on the basis that it will continue to operate as a going concern. The management consider that there are no material uncertainties that may cast significant doubt over this assumption. They have formed a judgement that there is a reasonable expectation that the Group has adequate resources to continue in operational existence for the foreseeable future, and not less than 12 months from the end of the reporting period.

The interim condensed consolidated financial statements do not include all the information and disclosures required in the annual consolidated financial statements and should be read in conjunction with the Group’s annual consolidated financial statements for the year ended 31 December 2024. In addition, results of the interim period ended 30 September 2025 are not necessarily indicative of the results that may be expected for the financial year ending 31 December 2025.

2.2 Basis of measurement

These interim condensed consolidated financial statements are prepared under the historical cost convention using the accrual basis of accounting and going concern concept, except for the following items which are measured as follows:

<i>Items</i>	<i>Measurement basis</i>
Employee defined benefit liabilities	Present value of the defined benefit obligation using projected credit unit method

2.3 Functional and presentation currency

These interim condensed consolidated financial statements are presented in Saudi Riyals (ﷲ), which is also the Group’s functional and presentation currency.

2 SIGNIFICANT ACCOUNTING POLICIES (Continued)

2.4 Significant accounting judgements, estimates and assumptions

The preparation of the Group's interim condensed consolidated financial statements requires management to make judgments, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the accompanying disclosures, and the disclosure of contingent liabilities.

The significant judgments made by management in applying the Group's accounting policies and the methods of computation and the key sources of estimation are the same as those that applied to the consolidated financial statements for the year ended 31 December 2024.

3 BASIS OF CONSOLIDATION

These interim condensed consolidated financial statements include the financial information of the Parent Company and its wholly owned subsidiary, Wasl Al Janub Land Transportation Company (One person company) (together referred to as the "Group"), in which the Group exercises control as at 30 September 2025.

<i>Subsidiary name</i>	<i>Country of incorporation</i>	<i>Principal business activity</i>	<i>Effective ownership interest</i>	
			<i>30 September 2025</i>	<i>31 December 2024</i>
Wasl Al Janub Land Transportation Company (One person company)	KSA	land transport of goods	100%	100%

The financial statements of the subsidiary are prepared for the same reporting period as that of the Group, using consistent accounting policies of the Group (note 5).

Transactions eliminated on consolidation

Intra-group balances and transactions, and any unrealized income and expenses arising from intra-group transactions, are eliminated.

Unrealized losses (if any) are eliminated in the same way as unrealized gains, but only to the extent that there is no evidence of impairment.

Generally, there is a presumption that a majority of voting rights results in control. To support this presumption and when the Group has less than a majority of the voting or similar rights of an investee, the Group considers all relevant facts and circumstances in assessing whether it has control over an investee, including:

- The contractual arrangement(s) with the other vote holders of the investee.
- Rights arising from other contractual arrangements.
- The Group's voting rights and potential voting rights.

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the period are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Control is achieved when the Group is exposed, or has rights, to variable returns from its transactions with the investee and has the ability to affect those returns through exercising its power over the investee. Specifically, the Group controls an investee if, and only if, the Group has:

- Power over the investee (i.e., existing rights that give the Group the current ability to direct the relevant activities of the investee).
- Exposure, or rights, to variable returns from its transactions with the investee.
- The ability to use its power over the investee to affect its returns.

4 NEW STANDARDS, INTERPRETATIONS AND AMENDMENTS ADOPTED BY THE GROUP

The accounting policies adopted in the preparation of the interim condensed consolidated financial statements are consistent with those followed in the preparation of the Group's annual consolidated financial statements for the year ended 31 December 2024, except for the adoption of new standards effective as of 1 January 2025. The Group has not early adopted any standard, interpretation or amendment that has been issued but is not yet effective. Several amendments apply for the first time in 2025, Which explained in the financial statements of the group but do not have an impact on the interim condensed consolidated financial statements of the Group as at 30 September 2025.

5 SUBSIDIARY

Below is a summary of the financial information of the subsidiary "Wasl Al Janub Land Transportation Company (One person company)" which is a wholly owned subsidiary of Najran Cement Company, this information is based on amounts before intercompany balances and transactions elimination for the group (Note3):

	30 September 2025 (Unaudited)	31 December 2024 (Audited)
Summary of statement of financial position		
Non-current assets	121,463	132,768
Current assets	4,555	9,252
Non-current liabilities	56,156	74,479
Current liabilities	18,426	21,347
Net assets	51,436	46,194
	For the nine- month period ended 30 September 2025 (Unaudited)	For the nine- month period ended 30 September 2024 (Unaudited)
Summary of statement of comprehensive income		
Operating Profit	8,087	8,757
Net Profit	5,244	5,009

6 SEGMENTAL REPORTING

The Group is engaged in one significant operating segment, i.e., manufacturing cement and operates in entirely from the Kingdom of Saudi Arabia and certain foreign jurisdictions. Accordingly, the financial information was not divided on to different geographic or business segments. Further, significant amount of liabilities of the Group are payable in Saudi Arabia.

7 PROPERTY, PLANT AND EQUIPMENT

For purpose of preparing the interim condensed consolidated statement of cash flows, movement in property, plant and equipment during the Nine-month period ended 30 September is as follows:

	30 September 2025 (Unaudited)	30 September 2024 (Restated note 19) (Unaudited)
Depreciation	73,028	72,228
Additions to property, plant and equipment	(7,582)	(47,574)

8 INVENTORIES

	<i>30 September 2025 (Unaudited)</i>	<i>31 December 2024 (Audited)</i>
Raw materials, fuel and packing materials	29,553	18,491
Work in process	334,806	310,194
Finished goods	8,817	6,158
Spare parts - Consumables not for sale	64,046	52,353
Less: Provision for obsolete spare parts	(7,568)	(7,568)
Total	429,654	379,628

9 TRADE RECEIVABLES

9.1 Trade Receivables

	<i>30 September 2025 (Unaudited)</i>	<i>31 December 2024 (Audited)</i>
	<i>Note</i>	
Trade receivables	23,777	23,418
Less: provision for expected credit loss	9-2 (1,579)	(1,579)
	22,198	21,839

Trade receivables are non-interest bearing and are generally payable on demand.

9.2 Movement in the provision for expected credit loss is as follows:

	<i>30 September 2025 (Unaudited)</i>	<i>31 December 2024 (Audited)</i>
Balance at the beginning and end of the period / year	1,579	1,579

10 SHARE CAPITAL

10.1 Share capital

The authorized share capital of the Group comprised 170 million ordinary shares stated at ₪ 10 per share. All shares are issued and fully paid. (31 December 2024: 170 million ordinary shares stated at ₪ 10 per share).

10.2 Treasury shares

On 22 Rabi' al-Awal 1446H (corresponding to 25 September 2024), The group's board of directors decided to purchase 17 million shares of the Group and retain them as treasury shares for a period of ten years from the date of the Extraordinary General Assembly's approval, due to the decline in the Group's share price in the market.

On 21 Jumada al-Thani 1446H (corresponding to 22 December 2024), the Extraordinary General Assembly of the Group approved the purchase of these shares.

During the period, the Group purchased 5,24 million shares amounted to ₪ 43,8 million.

10.3 Statutory reserve

In accordance with the previous Companies Law in the Kingdom of Saudi Arabia, the Company had allocated a statutory reserve by transferring 10% of its net income to the statutory reserve until it reached 30% of the share capital. This reserve was not available for distribution.

During the year ended 31 December 2024, The Group has updated its Articles of Association in accordance with the new Companies Law. Additionally, the Extraordinary General Assembly approved the transfer of the statutory reserve to retained earnings on 21 Jumada al-Thani 1446H (corresponding to 22 December 2024).

11 LOANS TERM FINANCING

Long & short terms borrowing from commercial banks is presented as follows:

11.1 Long term borrowing

	<i>30 September 2025</i>	<i>31 December 2024</i>
Principal amount, beginning balance	264,808	315,654
Less: repayments during the period/ year	(16,000)	(50,846)
Net principal amount	248,808	264,808
Accrued mark up for the period/ year	4,450	2,511
	253,258	267,319
Long term borrowing - Current portion	(20,450)	(61,357)
Long term borrowing – Non Current portion	232,808	205,962

11.2 Short term financing

	<i>30 September 2025</i>	<i>31 December 2024</i>
Principal amount, beginning balance	30,000	20,000
Draw-down during the period/year	40,000	60,000
Less: repayments during the period/ year	(30,000)	(50,000)
Net Principal amount	40,000	30,000

During the year 2022, the Parent Company signed banking facilities agreement (Tawarruq) with a local Bank. In the same year the company utilized ₪ 278.5 million which are repayable in seven years over thirteen equal semi-annual instalments starting from May 2023, and carries financing costs on the basis of the prevailing Saudi interbank rate (SAIBOR) plus a specified profit margin. The amount is secured by a promissory note. During the period, the Parent Company obtained the bank's approval to extend the loan term by an additional two and a half years. Accordingly, the repayment schedule was amended, with the next installment due on December 1, 2026.

During the year 2023, the subsidiary signed banking facilities agreement (Tawarruq) with a local bank and utilized ₪ 80 million long term facilities to finance its capital expenditures. The new facilities are repayable in six years over twelve equal semi-annual instalments starting from September 2024 and carries financing costs on the basis of the prevailing Saudi interbank rate (SAIBOR) plus a specified profit margin. The amount is secured by some of the subsidiary's vehicles and promissory note. The carrying values of the borrowings are denominated in Saudi riyals.

As of 30 September 2025, the short term bank facilities balance amounting: ₪ 40 million (31 December 2024: ₪ 30 million), for the working capital purposes of the Group.

The Short-term facilities are repayable during the next 12 months and carries financing costs on the basis of the prevailing Saudi interbank rate (SAIBOR) plus a specified profit margin secured by a promissory note.

All The above loans are sharia compliant.

12 ZAKAT

The movement in zakat payable on the Group was as follows:

	<i>30 September 2025 (Unaudited)</i>	<i>31 December 2024 (Audited)</i>
Balance at beginning of the period / year	6,927	8,030
Provision during the period / year	4,590	5,726
Paid during the period / year	(6,457)	(6,829)
Balance at the end of the period / year	5,060	6,927

The Group submitted its Consolidated Zakat returns to the zakat, Tax and customs Authority (ZATCA) for all the years up to December 31, 2024 and settled the obligations for these years based on the filed Zakat returns. Zakat assessments have been finalized with Zakat, Tax and Customs Authority (ZATCA) for the years 2006 to 2011 and 2014 to 2023.

13 SALES

13.1 Disaggregated sales information

	<i>For the three-month period ended 30 September</i>		<i>For the nine-month period ended 30 September</i>	
	<i>2025 (Unaudited)</i>	<i>2024 (Unaudited)</i>	<i>2025 (Unaudited)</i>	<i>2024 (Unaudited)</i>
Product type				
Cement	122,668	134,565	382,609	385,959
Total sales	122,668	134,565	382,609	385,959
Customer type				
Corporate customers	122,668	134,565	382,609	385,959
Total sales	122,668	134,565	382,609	385,959
Geographical markets				
Local	113,312	126,724	357,001	365,804
Export	9,356	7,841	25,608	20,155
Total sales	122,668	134,565	382,609	385,959

13.2 Performance obligations - point in time

The performance obligation is satisfied at a point in time and payment is generally due in advance or on demand.

14 EARNINGS PER SHARE

The Group presents basic and diluted earnings per share for its ordinary shares. Basic is calculated by dividing the profit attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period.

	<i>For the three-month period ended 30 September</i>		<i>For the nine-month period ended 30 September</i>	
	<i>2025</i>	<i>2024</i>	<i>2025</i>	<i>2024</i>
	<i>(Unaudited)</i>	<i>(Unaudited)</i>	<i>(Unaudited)</i>	<i>(Unaudited)</i>
Profit for the period attributable to the shareholders of the Company (in ﷲ'000)	3,069	14,767	24,781	36,835
Weighted average number of ordinary shares for the purposes of basic and diluted earnings Basic ('000 shares)*	165,309	170,000	167,674	170,000
Basic and diluted profit per share based on profit for the period attributable to shareholders of the Company (ﷲ)	0,02	0,09	0,15	0,22

* The weighted average number of outstanding ordinary shares during the period ended 30 September 2025 has been calculated after calculating the impact of the purchase of treasury shares (note 10-2).

15 CONTINGENCIES AND COMMITMENTS

The Group was contingently liable for letters of credit and bills for collections issued in the normal course of the business amounting to ﷲ 26,214 Million as at 30 September 2025 (31 December 2024: ﷲ 24,936 Million).

16 RELATED PARTY TRANSACTIONS AND BALANCES

Related parties represent major shareholders, Board of Directors, the Group key management personnel and enterprises managed or significantly influenced by those parties. The following are the details of major-related parties' transactions during the nine-month period ended 30 September 2025 compared to the nine-month period ended 30 September 2024:

			<i>For the nine-month period ended 30 September (Unaudited)</i>	
<i>Due to related parties</i>			<i>2025</i>	<i>2024</i>
<i>Related party</i>	<i>Nature of relation</i>	<i>Nature of transaction</i>		
Al Masane Al Kobra Mining Company.	Some members of the group's Board of directors are members of the company's Board of directors	Sales to related party	-	281

16 RELATED PARTY TRANSACTIONS AND BALANCES (Continued)

Allowances and compensation of the Board of Directors and senior executives

The Group's senior management includes key management personnel and executives, Board of Directors, having authorities and responsibilities for planning, directing and controlling the activities of the Group.

Board of Directors and committees' compensation charged during the nine-month period ended 30 September 2025 amounting to ﷲ 3,628 Million (30 September 2024: ﷲ 2,978 Million).

Allowances and compensation of the Board of Directors and senior executives comprised the following:

	<i>30 September 2025 (Unaudited)</i>	<i>30 September 2024 (Unaudited)</i>
Short term employee benefits	8,986	7,848
Post-employment benefits	268	385
	9,254	8,233

17 FAIR VALUE MEASUREMENT

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability; or
- In the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible by the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non- financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

All financial instruments for which fair value is recognized or disclosed are categorized within the fair value hierarchy, based on the lowest level input that is significant to the fair value measurement, as follows:

- Level 1: quoted (unadjusted) market prices in active markets for identical assets or liabilities.
- Level 2: valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable.
- Level 3: valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

If the inputs used to measure the fair value of an asset or liability falls into different levels of the fair value hierarchy, then the fair value measurement is categorized in its entirety in the same level of the fair value hierarchy as the lowest input level that is significant to the entire measurement.

The Group recognizes transfers between levels of the fair value hierarchy at the end of the reporting period during which the change has occurred. There were no transfers among the levels during the period.

The management assessed that the fair value of financial assets and financial liabilities approximate their carrying amounts primarily due to the short-term maturities of these instrument.

18 SUBSEQUENT EVENTS

Management believes that there are no material subsequent events that require disclosure or amendment to these condensed consolidated interim financial statements.

19 PRIOR YEARS RESTATEMENT

During 2024, management reassessed the accounting treatments of certain transactions and balances recorded in the consolidated financial statements of prior years to determine whether they had been accounted for in accordance with the International Financial Reporting Standards (IFRS) adopted in the Kingdom of Saudi Arabia. This reassessment was conducted in accordance with the requirements of IAS 8 "Accounting Policies, Changes in Accounting Estimates, and Errors", and the findings are as follows:

- a) In previous years, the Group used the declining balance method for the depreciation of property, plant, and equipment. During 2024, management engaged an external expert to conduct a comprehensive assessment to evaluate the appropriateness of the declining balance depreciation method currently applied by the Group in accordance with the requirements of IAS 16 "Property, Plant, and Equipment" as adopted in the Kingdom of Saudi Arabia. Consequently, management changed the depreciation method to the straight-line method retrospectively, by adjusting the impacted items for comparative figures.
- b) During 2024, management identified various consumable spare parts recorded under property, plant, and equipment that do not meet the definition of property, plant, and equipment in accordance with IAS 16 "Property, Plant, and Equipment". Consequently, management corrected the error by adjusting the impacted items on the consolidated financial statements for comparative figures

Accordingly, the comparative figures have been restated as follows:

	30 September 2024 (Unaudited)		30 September 2024 (Unaudited)
	Before Adjustment	Adjustment	After Adjustment
Consolidated statement of profit or loss			
Cost of sales	(284,770)	(10,141)	(294,911)
Net profit for the period	46,976	(10,141)	36,835
Earnings per share	<u>0,28</u>	<u>(0,06)</u>	<u>0,22</u>
Consolidated statement of cash flows			
Net change from operating activities			
Depreciation	64,808	7,420	72,228
Transfer of Property, plant and equipment	<u>-</u>	<u>2,721</u>	<u>2,721</u>

20 APPROVAL OF INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

These interim condensed consolidated financial statements were authorized for issue by the Group's board of directors on 14/05/1447H (corresponding to 05/11/2025).